

ADVANTAGE Daily Drilling Fluids Report - 39



INTEQ

Rpt Date 14/Dec/2006		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 09/Nov/2006		MD 1215.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
0				19 1/2	172.50	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	60	301
Drill Collars				31 3/4	262.00	766.1	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	60	301
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	60	301
		5	4.276	1151.00	13 3/8	800.00							
					12 1/4	1215.00	Tot Active						
						1131.1	In Storage	Circulation Times					
						996	Surface to Bit	min/stks			Total System	min/stks	
							Bottoms Up	min/stks					

Mud Properties				Max Ann Velocity		Hole Information				
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	1350 psi	Water Depth	146.00 m
Sample From		Reserve	Flow Line		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate	USgal/min
Check Time		14:30	20:00		AV Open Hole	ft/min	Solids Analysis			
MD m		1215.00	1215.00		Vc Open Hole	ft/min	Property	1	2	3
TVD m		1215.00	1215.00		Vc Drill Pipe	ft/min	LGS %	2.91	8.79	
Bit Depth m		800.00	1151.00		Min Ann Velocity		LGS lb/bbl	26.50	80.08	
Density ppg		7.80	9.20		AV Riser	ft/min	HGS %	0.00	0.39	
Funnel Visc. sec/quart		33.0	71.0		AV Casing	ft/min	HGS lb/bbl	0.00	5.78	
Test Temp degF		85.0	110.0		AV Open Hole	ft/min	Avg Dens Sol sg	1.1220	2.6684	
Rheol Temp degF		120.0	120.0		Bit Information					
PV cP		13	28		Size					
YP lbf/100ft^2		2	17		Hours On Bit					
10sec Gel lbf/100ft^2		2	11		Bit Number					
10min Gel lbf/100ft^2		3	18		BHA Number		Rheology			
HTHP Filtrate cc			4.0		Depth In		600 RPM	28	73	
HTHP Cake in/32			2.0		Bit RPM		300 RPM	15	45	
HTHP Temp degF			250.0		WOB		200 RPM	10	34	
HTHP Pressure psi			500		Nozzles		100 RPM	6	21	
Retort Water %		24.0	24.5		Bit Hydraulics		6 RPM	2	10	
Retort Base Fluid %		71.0	64.0		TFA		3 RPM	1	9	
Retort Solids %		5.0	11.5		Nozzle Vel	ft/sec				
Corrected Solids %		2.9	9.2		Bit Press Loss	psi				
Oil:Water Ratio		75:25	72:28		HHP / Area	HP/in^2	Hydraulic Analysis			
Alk (Whole Mud-POM) cc/cc		1.10	1.40		HHP	%	Behavior Index (n)			
Cl (Whole Mud-Clom) cc/cc		51000	56000				Consistency Index (k)			
Ca (Whole Mud-Caom) cc/cc		0	0				ECD @ Bit Depth			
Excess Lime lb/bbl		1.4	1.8				ECD @ Casing Shoe			
Brine Density sg		1.23	1.24		Fluid Comments/ Recommendations					
NaCl % wt		0	0		Conditioned mud & cut back wt from 9.8 to 9.2 ppg while circulating hole. Utilized premix, base oil & centrifuge for wt reduction. Received 180 bbls of Base Oil, 29 MT of Baryte, 636 bbls of Premix & SBM Chemicals from Crusader. Mud Check #1 is for the Reserve Premix mud from MV- Crusader.					
CaCl2 % wt		25	26							
Elect. Stab.V		122.0	398.0							
Sand %		0.20	0.20							
					Drilling Comments					
					Disp cmt w/mud. Pull f/1213 t/1028m. Pump @ 35 SPM. Loses of 3bpm. Monitor on T/Tank. POOH f/1028 t/798m. Close UPRS. Fill riser, took 24 bbls. WOC. Open LPRS, observe level drop. Took 2 bbls to fill riser. Monitor on T/Tank (loses of 8bbls over 6hrs) while wait on mud & chemicals. Cont monitoring well on T/tank while build mud t/9.2 ppg (1/2 bbl loss). F/C, (static). RIH f/798, tag TOC @ 1151m. Circ & condition mud to 9.2 ppg. Increase strokes in stages to 180 SPM, 900 GPM, 1350 psi & monitor for loses. None observed.					

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Waboso Peter / Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	58037.19 USD	524795.69 USD	446020.48 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

**BAKER
HUGHES**

Rpt Date 14/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)			
Job# 1		Spud Date 09/Nov/2006			MD 1215.00 m		Progress 0.00 m		Present Activity Circulate			
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis				
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			
Solids Control Equipment												
Name	#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments		
CENTRIFUGE	1		4.0			10.0		0.0				
CENTRIFUGE	2		0.0			0.0		0.0				
DESANDER	1		0.0			0.0		0.0				
DESILTER	1		0.0			0.0		0.0				
MUD CLEANER	1		0.0	175, 210		0.0		0.0				
SHALE SHAKER	1		0.0			0.0		0.0				
SHALE SHAKER	1		0.0	3 x 175		0.0		0.0				
SHALE SHAKER	2		0.0			0.0		0.0				
SHALE SHAKER	2		0.0	3 x 110		2.0		0.0				
SHALE SHAKER	3		0.0	3 x 175		2.0		0.0				
SHALE SHAKER	3		0.0			0.0		0.0				
				Total Volume Lost		14		0				
Volumes												
Additions bbl			Losses bbl			Total Volumes bbl						
Mud Added	636	Weight Materials	6	Downhole	198	Left In Pit	Starting Volume		1615.7	Riser w/o Pipe	209.1	
Brine		Water		Cased Off		Trip Losses	Daily Additions		733.5	Casing w/o Pipe	383.2	
Base Fluid	66	Product	25.5	Left In Hole		Injected	Daily Losses		222	Open Hole w/o Pipe	198.5	
Recycled		Other		Discharged		Spill To Environment	Ending Volume		2127.2	String Displacement	24.6	
				SCE	14	Onshore Disposal	Net Change		511.5	String Capacity	67.1	
				Evaporation		Returned				Total Hole w/ Pipe	766.1	
				Other Losses	10					Total Active	1131.1	
										Total Reserve	996.0	
IADC Hours												
Tripping		3	Wait	5	Circulate		8	Miscellaneous		8		
Primary Currency USD				Secondary Currency				Totals USD				
Daily Product Cost			57137.19		Daily Product Cost			0.00		Primary Product 477489.44		
Daily Tax			0.00		Daily Tax			0.00		Secondary Product 0.00		
Debit/Credit			0.00		Debit/Credit			0.00		Primary Engineering 47306.25		
Daily Engineering Cost			900.00		Daily Engineering Cost			0.00		Secondary Engineering 0.00		
Total Daily Cost			58037.19		Total Daily Cost			0.00		Primary Total 524795.69		
Total Inventory Value			446020.48		Total Inventory Value			0.00		Secondary Total 0.00		
									Deck Load 614350 lb			
Products and Services												
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl		
Bulk												
MIL-BAR	1000 kg	96		29			4	121	104.03	181.73		
Oil Based Product												
CARBO-GEL	25 kg			80			80		5.55	3.39		
MIL-LIME	25 kg	75					35	40	3.59	1.24		
OMNI-COTE	55 USgal	2						2	0.19	0.76		
OMNI-MUL	55 USgal	16					4	12	3.59	2.25		
OMNI-PLEX	55 USgal	8					4	4	2.75	1.78		
OMNI-TEC	55 USgal	12					4	8	1.79	0.33		
PARA-TEQ	1 bbl	938		180			66	1052				
SYN-TEQ (PARA)	1 bbl											
Water Based Product												
CAUSTIC SODA	25 kg	32						32				
MIL-GUAR	25 kg	50						50	0.52	0.60		
SOLUFLAKE	25 kg								0.59			
Xanthan Gum	25 kg	39						39	0.90	1.03		
XCIDE 102	55 USgal	1						1				